Any addition or deduction from the previous year balance sheet should be clearly shown.

4. **Investment in Securities:** The auditor should check whether capital reserve is invested in easily realizable securities or may be invested in the business itself.

4. SECRET RESERVE



It is a reserve, the existence of which is not apparent on the face of the Balance Sheet. It is also called as "Hidden Reserve" or "Internal Reserve" or "Inner Reserve". The reserve represents the surplus of assets over liabilities and capital. Secret Reserves are usually created by banking companies, insurance companies and electricity supply companies. When secret reserve exist, the financial position of the company is better than what it would appear from the balance sheet. However, the existence of such a reserve is found only by a close and intelligent scrutiny of the account of the company.



Objects of creating Secret Reserve

Secret Reserve is created for the following purpose:

1. To meet any extraordinary loss without disclosing the fact to the shareholders or outsiders.
2. To increase the working capital and to strengthen the financial position of the company.
3. To withhold information of the progress of the company from trade competitors.
4. To equalize the payment of dividend during the period of loss.
5. To meet unexpected financial losses in future.

Methods of Creating Secret Reserve

- Undervaluing the assets below cost or market value.
- Not recording the appreciated value of an asset.
- Providing excess reserve for bad and doubtful debts or discount on debtors.
- Providing excess depreciation on fixed assets.
- Writing down goodwill to a nominal value
- Omitting some of the assets in the Balance Sheet.
- Undervaluing the assets by charging capital expenditure to revenue account.
- Overvaluing the liabilities.
- Inclusion of fictitious liabilities
- Showing contingent liabilities as real liabilities.
- Grouping dissimilar items on the liabilities side of the Balance Sheet.

AUDITOR'S DUTIES

1. **Verify Articles of Association:** The auditor should study the Articles of Association of the company to ascertain the legal implications of creating the reserve.
2. **Examine Object and Method of Creation:** Auditor should examine carefully the

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